

Navi Limited

September 11, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term / Short-term bank facilities	RBI	100.00	CARE A+; Stable / CARE A1+	Assigned
Non-convertible debentures	MCA	400.00	CARE A+; Stable	Upgraded from CARE A; Positive

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The rating assigned to bank facilities and upgrade in rating of debt instruments of Navi Limited (NL) factors in significant improvement in profitability at Navi Finserv Limited (NFL), resulting in a marked improvement in the Navi group's consolidated earnings profile. The group holding company, NL houses unified payments interface (UPI) business at a standalone level and operates in lending (through NFL), general insurance (Navi General Insurance Limited), and asset management (Navi AMC Limited) businesses through its subsidiaries. NFL's profitability improved considerably following measures undertaken to enhance lending yields including introduction of processing fees. NFL reported a profit after tax (PAT) of ₹75 crore in Q3FY26 and ₹135 crore in Q4FY26, which further improved to ₹199 crore in Q1FY27. NL's standalone losses have also been reducing quarter-on-quarter (q-o-q) due to measures taken to monetise its UPI infrastructure. Consequently, on a consolidated basis, NL achieved breakeven in Q4FY26 and a profit before tax (PBT) of ₹104 crore in Q1FY27. CareEdge Ratings estimates significant improvement in NL's consolidated profitability in the near-to-medium term, with return on managed assets (ROMA) estimated at above 1.0% in FY27, supported by operating leverage benefits and contained credit costs.

Ratings continue to derive strength from Navi's experienced promoter, Sachin Bansal, its scalable technology-led business model and integrated financial services ecosystem, supported by adequate capitalisation and a diversified resource profile. The group's consolidated tangible net worth (TNW) stood at ₹3,654 crore as on June 30, 2026, while NFL maintained a healthy capital adequacy ratio (CAR) of 24.26%. CareEdge Ratings takes note of the proposed equity infusion of ₹940 crore (US\$100 million) in NL by MIH Payments Holdings B.V., a subsidiary of Prosus N.V., which is expected to be completed in the near term, subject to clearance by the Competition Commission of India (CCI). Post the proposed infusion, consolidated TNW is expected to increase to ~₹4,500 crore, providing further support to the group's capitalisation and growth plans.

NFL reported strong operating performance in FY26, with loan disbursements growing by ~73% year-on-year (y-o-y) to ₹23,332 crore and assets under management (AUM) increasing by ~72% y-o-y to ₹19,740 crore as on March 31, 2026, and further to ₹23,440 crore as on June 30, 2026. Asset quality indicators have improved, reflected in declining gross non-performing assets (GNPA) and net NPA (NNPA), high Stage-III provision coverage, low bounce rates of ~5%, and improving performance of recent static pool cohorts. This has supported moderation in credit costs to 2.23% in FY26 from 4.25% in FY25 at NFL. The lender base of over 70 institutions, and increasing utilisation of co-lending and direct assignment, further supports the group's funding flexibility and resource diversification.

However, ratings remain constrained by high concentration in personal loans, which constituted ~92% of AUM as on June 30, 2026, exposing the portfolio to inherent asset quality risks associated with unsecured lending, and regulatory risks pertaining to the digital lending ecosystem. While asset quality and profitability have improved significantly in recent quarters, it remains moderate, and the group's ability to sustain improvement while executing planned growth will remain a key monitorable. The group's ability to monetise its UPI infrastructure (with Navi being the fourth largest UPI player in the country with ~4% market share as of July 2026) and reduce cash burn will be critical from the group's credit perspective.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Sizable growth in scale of operations while maintaining a healthy asset quality and profitability (ROMA sustaining above 4%)
- Significant diversification in resource profile with a sustained improvement in cost of borrowings.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Weak profitability with consolidated ROMA persisting below 1%.
- Consolidated gearing ratio of above 3.5x on sustained basis.

Analytical approach: Consolidated (at NL level).

CareEdge Ratings has taken a consolidated assessment of NL, considering strong managerial, financial and technological linkages between NL and its subsidiaries. Group companies use a common brand name and a technology platform for their respective businesses. Entities considered for consolidation are listed under Annexure 5.

Outlook: Stable

The 'Stable' outlook reflects likely continuation of profitable business growth complemented by healthy resource-raising ability and adequate capitalisation levels.

Detailed description of key rating drivers
Key strengths
Experienced promoter and scalable technology-led business model with strong ecosystem synergies

The Navi group's credit profile derives significant strength from its promoter, Sachin Bansal, who has a demonstrated track record of building and scaling technology-led consumer businesses. Sachin Bansal, Chairman of NL and Non-Executive Chairman of NFL, brings deep experience in technology-led consumer businesses, complemented by senior executives with backgrounds across banking, fintech, and insurance. NFL's CEO, Abhishek Dwivedi, has over 15 years of sectoral experience and has held key roles across the Navi group since inception. The promoter's continued commitment and resourcefulness provide additional financial flexibility to the group; the promoter has provided personal guarantees for the borrowings at NL standalone level. The Navi group operates a fully digital lending platform supported by in-house technology infrastructure and advanced data analytics, enabling rapid scale-up, efficient underwriting, and lower turnaround times. NL provides operational and technology support, with Navi App fully developed and maintained by NL's inhouse tech team. The credit decisioning process' technology layer has been shifted from NL to NFL, post the RBI embargo. The company has built an integrated financial services ecosystem comprising lending, UPI, insurance, and asset management businesses supporting customer acquisition, cross-sell potential, and operating leverage. The group's digital businesses have scaled meaningfully, evidenced by its 33 million+ monthly users, and emerging traction in credit line on UPI. Insurance (gross written premium of ₹203 crore in FY26) and asset management operations (asset under management of ₹9,900 crore as on March 31, 2026) further contribute to diversification. With a large and growing user base, the UPI platform acts as a key sourcing funnel, significantly reducing dependence on external channels and lowering customer acquisition costs. A substantial proportion of incremental loan originations is sourced internally through the Navi app, which also enables cross-selling across product lines and enhances customer engagement and lifetime value.

Significant improvement in profitability at NFL supporting turnaround at consolidated level, though profitability remains moderate and track record is limited

The group's profitability at the consolidated level continued to report losses in FY26, while the group turned marginally profitable in Q4FY26, primarily considering the relatively lower net income margins (NIMs) and elevated operating expenses. Profitability has also been impacted by significant investments towards scaling newer business verticals. A key contributor to the elevated cost structure includes continued high marketing and branding expenditure in the UPI segment, which serves as a strategic customer acquisition and engagement platform for the group. While these investments are expected to support long-term growth through cross-selling of lending and other financial products, they exert pressure on near-term profitability. NL reported net loss of ₹466 crore in FY26.

NFL's profitability improved significantly from Q3FY26, supported by yield enhancement measures, including the introduction of processing fees, operating leverage benefits and moderation in credit costs. NFL reported PAT of ₹75 crore in Q3FY26 and ₹135 crore in Q4FY26, which further increased to ₹199 crore in Q1FY27. Improvement in profitability at NFL translated into a meaningful improvement in NL's consolidated earnings profile. Supported by improvement in NFL profitability, NL achieved breakeven at the PBT level in Q4FY26 and reported PBT of ₹104 crore in Q1FY27 (Q1FY26: PBT loss of ₹95 crore).

CareEdge Ratings expects improvement in profitability to be supported by continued growth in NFL's lending operations, better monetisation through processing fees and gradual improvement in operating leverage. Incremental revenues from the UPI business are expected to support the group's consolidated profitability and reduce cash burn associated with the business. However, profitability remains moderate relative to scale of operations and track record of sustained profitability at the

consolidated level remains limited. The group's ability to sustain recent improvement in earnings while maintaining asset quality and controlling operating costs remains a key rating monitorable.

Adequate capitalisation supported by strong net worth position

The company maintains adequate capitalisation, with a consolidated tangible net worth of ₹3,654 crore as on June 30, 2026. NFL's capitalisation remains adequate, with CAR at 24.26% as on June 30, 2026, supported by equity raise of ₹500 crore in FY26. NL has an agreement in place for equity raise of ₹940 crore (US\$100 million) from MIH Payments Holdings B.V., a subsidiary of Prosus N.V. The proposed transaction has been notified to the CCI and is expected to be completed in the near term, subject to CCI clearance. Post the proposed infusion, consolidated tangible net worth is expected to increase to ~₹4,500 crore, providing additional capital support and headroom for business growth while maintaining leverage within the targeted levels. NL infused ₹300 crore in Q2FY27, following announcement of the proposed equity raise at NL, and proposed to infuse additional equity per requirement once the equity raise is completed.

CareEdge Ratings expects overall gearing to remain less than 3.5x on a consolidated basis in the medium term supported by capital support, improvement in profitability and increasing share of off-balance sheet origination through co-lending and direct assignment.

Diversified resource profile

The group's liability profile improved over time, with increasing diversification across bank borrowings, capital market instruments, and off-balance sheet funding avenues such as co-lending and direct assignment through NFL. NFL benefits from a well-diversified borrowing profile and strong access to funding, with borrowings spread across debentures, term loans, pass-through certificates (PTCs), and commercial paper. The company demonstrated consistent fundraising capability, aided by a comfortable capital position (capital to risk weighted assets ratio [CRAR] 24.26%) and moderate leverage (debt to equity: 3.5x). The lender base is well-diversified, comprising over 70 institutions, including banks, mutual funds, and other investors, reducing concentration risk and enhancing funding stability. The company's ability to continue raising incremental funding at competitive rates will remain a key monitorable.

Meaningful scale with improving asset quality indicators and underwriting performance

The group achieved meaningful scale with AUM of ₹23,440 crore as on June 30, 2026 (March 31, 2025: ₹11,506 crore). Despite operating predominantly in the unsecured lending segment, the company demonstrated improvement in asset quality indicators, with moderation in GNPA, NNPA levels, and declining credit costs. Credit cost (including off-book) improved from 4.25% in FY25 to 2.23% in FY26 at NFL. Improvement in asset quality is supported by strengthening underwriting practices, including continuous refinement of machine learning-based models, tighter approval filters, and granular cohort-level monitoring. Recent static pool performance indicates better early delinquency trends, reflecting improved risk selection and portfolio quality.

Growth potential led by the technology-led business model

The group's non-banking financial company (NBFC) arm, NFL, operates a highly scalable digital lending model, with end-to-end origination, underwriting and disbursement sourced through the Navi app with minimal to no manual intervention. This enables rapid portfolio growth, supported by a sub-10-minute turnaround time and continuous optimisation of customer journeys. While the digital framework provides scalability and operating leverage, performance of the company's machine learning (ML) based underwriting models, including frequency and quality of model retraining, remains important for sustaining asset quality amid competition in the unsecured personal loan (PL) segment. NFL has a pan-India presence in personal loans, while its housing loan business remains concentrated in select cities, and is serviced through satellite offices.

Following the lifting of restrictions imposed by the RBI on December 02, 2024, NFL resumed its growth trajectory, with AUM increasing to ₹19,740 crore as on March 31, 2026, from ₹11,506 crore as on March 31, 2025, and further to ₹23,440 crore as on June 30, 2026. Personal loans continued to constitute the predominant share of the portfolio, accounting for ~92% of AUM as on June 30, 2026.

While the digital operating model offers scalability and cost efficiency, the company's ability to maintain underwriting discipline, manage model risk in automated credit decisioning and preserve asset quality across phases of accelerated growth will remain key monitorable.

Key weaknesses

High share of unsecured lending with asset quality performance susceptible to growth and economic cycles

NFL continues to have a high concentration in unsecured personal loans, making its asset quality inherently more susceptible to borrower behaviour, economic cycles and changes in the competitive environment. Asset quality improved materially, with GNPA declining to 1.25% and NNPA to 0.16% as on March 31, 2026, from 2.46% and 0.35%, respectively, as on March 31, 2025. As on June 30, 2026, GNPA and NNPA remained broadly stable at 1.38% and 0.17%, respectively.

Given the company's predominant exposure to unsecured personal loans, it follows a conservative write-off policy, which results in structurally higher credit costs. Credit costs moderated in FY26, supported by improvement in underwriting practices and performance of recent loan cohorts. While recent improvement in asset quality is encouraging, its sustainability through the current phase of rapid portfolio growth remains to be established. The company's focus on salaried customers (67% of personal loan AUM) and 71.3% of AUM is extended towards customers with CIBIL of above 750 provide some mitigation. CareEdge Ratings will continue to monitor the company's ability to sustain asset quality at prudent levels while pursuing rapid growth.

Regulatory risk related to digital lending space

Ratings continue to factor in the regulatory risks associated with the digital lending ecosystem, where the regulatory framework remains evolving. Given the company's significant presence in unsecured digital lending, changes in regulations relating to lending practices, customer protection, digital lending guidelines or capital requirements could impact business growth, profitability, and operating flexibility. Recently, Reserve Bank of India's (RBI's) actions adversely impacted growth and yields across the industry, underscoring vulnerability of the business model to regulatory interventions. CareEdge Ratings notes that the company has demonstrated its ability to adapt its operating model in response to evolving regulations. Given the dynamic regulatory landscape and heightened supervisory focus on digital lending and unsecured retail credit, regulatory developments will continue to remain an important rating monitorable.

Liquidity: Strong

NFL's asset liability maturity (ALM) stood strong, with no negative cumulative mismatches in any of the time buckets as on June 30, 2026, supported by healthy cash and bank balance and liquid investments. As on June 30, 2026, the company had cash and bank balance of ₹1,754 crore and liquid investments of ₹1,698 crore. NL maintained a liquidity of ₹676.3 crore, on a standalone basis, as on June 30, 2026, with NL's debt of ₹600 crore falling due for repayment in October 2027.

Per ALM as on June 30, 2026, the company has a debt repayment obligation (excluding interest) of ₹6,333 crore for next 12 months, against which advances inflows (excluding interest) for the next 12 months stood at ₹7,245 crore. The company has a liquidity policy to maintain a minimum of two months of its fixed debt obligations as liquidity at all times.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Short Term Instruments](#)

[Non Banking Financial Companies](#)

[Consolidation and Combined Approach](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Other financial services

NL is the holding company of the Navi group companies. The company is promoted by Sachin Bansal. As on June 30, 2026, Sachin Bansal holds 98.36% stake in the company. NL is a technology-driven financial services holding company offering products across lending (personal loans and housing loans), insurance, asset management, and payments segments. The company's strategy is centred on simplifying access to financial services through technology, data analytics, and customer-centric design and develops products and provides services through internet and mobile platforms to all group companies. Its major subsidiaries include (i) NFL, the non-banking financial company (NBFC) arm; (ii) Navi General Insurance Limited and (iii) Navi AMC Limited.

NL-Consolidated Financials

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	2689	3091	1165
Profit after tax (PAT)	-126	-466	104*
Assets under management (AUM)	11,506	19,740	23,440
On-book gearing (x)	2.31	3.44	3.88
AUM / tangible net-worth (TNW) (x)	3.32	5.66	6.42
Gross non-performing assets (NPA) / gross stage 3 (%)	2.46	1.25	1.38
Return on managed assets (ROMA) (%)	-0.80	-2.33	NA
Capital adequacy ratio (CAR) (%)	30.54	23.76	24.26

A: Audited UA: Unaudited; Note: these are latest financial results available*PBT-Profit Before Tax

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non Convertible Debentures	MCA	Simple	INE0GXL07070	17-Apr-2026	13	16-Jul-2028	125.00	CARE A+; Stable
Debentures-Non Convertible Debentures	MCA	Simple	INE0GXL07088	27-May-2026	13	26-Aug-2028	150.00	CARE A+; Stable
Debentures-Non Convertible Debentures	MCA	Simple	INE0GXL07096	12-Jun-2026	13	11-Sep-2028	125.00	CARE A+; Stable
Fund-based - LT/ ST-Term loan	RBI	Simple	-		-	16-Jul-2028	100.00	CARE A+; Stable / CARE A1+

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debentures-Non Convertible Debentures	LT	400.00	CARE A+; Stable	1)CARE A; Positive (21-Apr-26)	-	-	-
2	Fund-based - LT/ST-Term loan	LT/ST	100.00	CARE A+; Stable / CARE A1+				

LT: Long term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)**Annexure-5: List of entities consolidated**

Sr. No.	Name of the entity	Extent of consolidation	Rationale for consolidation
1	Navi Finserv Limited	Full	Subsidiary
2	Navi General Insurance Limited	Full	Subsidiary
3	Mavenhive Technologies Private Limited	Full	Subsidiary
4	Navi Fintech Private Limited	Full	Step down subsidiary
5	Navi Investment Advisors Private Limited	Full	Subsidiary
6	Navi Securities Private Limited	Full	Subsidiary
7	Navi MF Sponsor Private Limited	Full	Subsidiary
8	BACQ Technologies Corporation	Full	Subsidiary
9	Navi AMC Limited	Full	Step down subsidiary
10	Navi Trustee Limited	Full	Step down subsidiary

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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